

Many of the innovations in credit brought hopes for increased absolute returns or risk-adjusted returns. However, many of those perceived improvements were accompanied by declines in marketability or liquidity. In times of market upset, selling lower-grade debt securities is more difficult and entails accepting big discounts from the previous price. Private debt is, by definition, salable only in off-market transactions, which can become hard to engineer in tough times.

In the past, bonds were considered more prone to price fluctuation the more time remaining to maturity. More recently, bond investors' focus has shifted from maturity to "duration," or the number of years until half the discounted value of the future cash flows will have been realized. Because bondholders must wait longer on average to get cash from a 2% 10-year bond than from a 10% 10-year bond, for example, the 2% bond has a longer duration and is expected to fluctuate more in response to a given change in interest rates, even though its maturity is the same.

Because of the role of the ups and downs of interest rates in causing bond depreciation and appreciation, until 20 to 30 years ago many bond investors were "interest rate anticipators," predicting interest rate movements based on the business cycle. Now, they pay more attention the actions of the Federal Reserve and to corporate developments (because more debt securities come from low-grade companies and thus are greatly affected by changes in their issuers' creditworthiness).

In the distant past, bonds were bought primarily to diversify portfolios and provide steady income. Today many people buy them for total return and/or trade them actively for short-term profits, just as with equities.

Today, given that investors care about total return, the distinction between income and appreciation is accorded less importance. People are perfectly happy spending some of the appreciation on securities that don't provide income, and income is often retained in the hope of generating subsequent appreciation.